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Free Cash Flow =

CFO (How much did we generate from the business)

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CFI (How much did we invest in business)

The job of any business is to produce cash over time and with a cash flow ratio, we are ensuring that happens. It should not be cashless profits.

We will evaluate these things about cash flow-

- 1) **How much cash is the company generating against reported profits?**
- 2) **How is it using that cash?**
- 3) **How has the number changed over time?**